implementation, periodically reports overall investment under the head Gross Fixed Capital Formation (GFCF). GFCF measures the value of acquisitions of fixed assets by businesses, governments and households, including machinery, equipment, buildings, infrastructure such as roads, and intellectual property. While government spending has been recorded under the head Government Final Consumption Expenditure (GFCE), the Centre has not provided a separate figure for private investment. GFCE was up 4.3 per cent in the first quarter compared with a year ago.

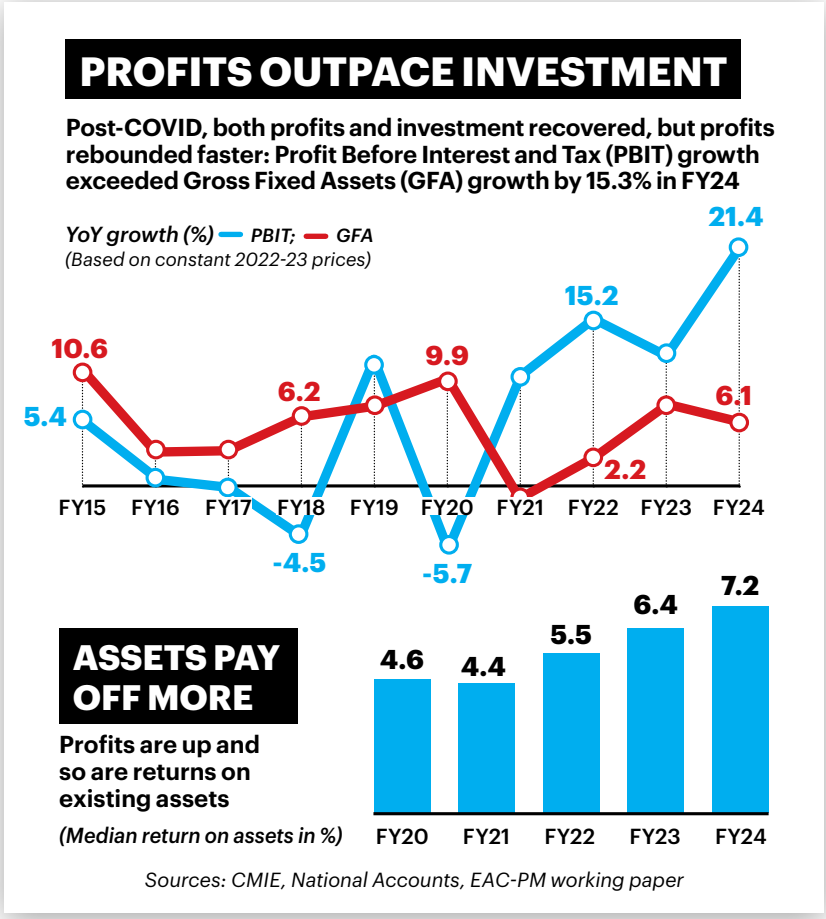
On the face of it, the numbers are encouraging. Investment as a share of GDP has risen to over 34 per cent, from an average of sub-32 per cent in each of the four quarters of the previous fiscal year. Experts say sustaining an investment rate of 34-35 per cent is the sweet spot for India to achieve growth of 8 per cent or more.

POCKETS OF GROWTH

The Centre normally takes time to compute private investment numbers, say experts, and these will be released only much later. However, they point to definite signs of a revival in private investment. And the recovery appears concentrated in a few sectors; there is still a long way to go before it becomes broad-based.

"Data from the Centre for Monitoring India Economy (CMIE) is pointing to a strong pick-up in private capex in the first quarter of FY27," says Dharmakirti Joshi, chief economist with Crisil. According to him, investment appears concentrated. "One such sector comprises steel, cement and real estate companies that are related to infrastructure. The government has been investing heavily in this segment," says Joshi. "Where the private sector is active and we will continue to see them active for the next couple of years is in the newer and emerging sectors—renewables and electronics supported by the production-linked incentive schemes, some infrastructure segments and electric vehicles, data centres and manufacture of photovoltaic cells."

Madan Sabnavis, chief economist with Bank of Baroda, offers a similar assessment. According to him, there are signs of investment picking up in specific sectors. "Those related to infrastructure, such as data centres, AI, power, oil and metals, are seeing a lot of interest. We have yet to see a similar pattern for consumer goods, where there is excess capacity." But the clue is in the capacity utilisation rates, which need to reach an optimal level before fresh investment takes place. "Here, demand becomes important. This is why the festival season matters, as this is when we can typically expect demand to pick up. The only red flags here are inflation and the kharif crop—the latter will affect rural spending." In short, the 12 per cent investment growth





"India will need to deregulate faster now, since the global environment is pretty tough and uncertain. We have to fire our productivity, our competitiveness and R&D. FTAs have given us market access, but they have to be realised"

DHARMAKIRTI JOSHI
Chief Economist, Crisil